

An equity risk premium is the extra return over the risk-free return that equity earns to compensate for the risk. So if an economy is growing at 8 per cent a year, with 6 per cent inflation, we can assume an equity return of 15–16 per cent a year. But I will stay conservative and assume just a 12 per cent equity return, and then take an average return of 10 per cent overall return.

After you read this book and understand how equity investing works, I'm hoping that you can target a return that is much higher than 10 per cent. If you do that, your savings ratio goes down. But let's stay conservative. Notice that in this system, you don't consume all of your annual salary hike. Salary grows at 10 per cent but expenses grow at 6 per cent. This difference between your salary hike and spending is what you will save for the rest of your goals.

Too theoretical? So, let's say you are thirty years old, and earn Rs 6 lakhs post tax a year. You save 30 per cent of this income and eat up Rs 4.2 lakhs a year. You invest your savings of Rs 1.8 lakhs in a mix of products – PF, PPF and a couple of equity funds. You target a 'safe' return of 10 per cent a year on this saving.

Now at age thirty-one, you get your increment at work and your post-tax income grows by 10 per cent. You now get Rs 6.6 lakhs a year. You don't consume all of the increment, but your spending grows in line with inflation, which we take at 6 per cent. Your second-year saving is Rs 1.98 lakhs. This gets added to the total of your last year's saving and the return on that.

We keep doing this exercise till you hit age sixty. Do you know how much money you'd have got? Rs 10.7 crores. Yup. That's the power of compounding, regular saving and a reasonable return. Now you look like your dad or mum looks today. Creepy, no? *Anyhoo*. Onwards to old age.

Assumption one: You will spend 70 per cent of your pre-retirement expenditure at age sixty. Remember that the spending is rising at 6 per cent; so if you spent Rs 4.2 lakhs a year at age thirty, by age sixty you are spending an annual amount of Rs 24 lakhs. There is a bunch of costs that go towards maintaining our work-related lives – travel, clothes, lunch, coffee, work-related socializing and so on. These costs go down once you retire; therefore, we take 70 per cent of your spending at age sixty as the amount you will spend at age sixty-one, or you will spend just under Rs 17 lakhs a year at age sixty-one. If you